MODEL QUESTIONS

Part-A Multiple Choice Questions

1. 'Economics is a study of mankind in the ordinary business of life' -It is the statement of
   - a. Adam Smith
   - b. Lionel Robbins
   - c. Alfred Marshall
   - d. Samuelson

2. The basic problem studied in Economics is
   - a. Unlimited wants
   - b. Unlimited means
   - c. Scarcity
   - d. Strategy to meet all our wants

3. Microeconomics is concerned with
   - a. The economy as a whole
   - b. Different sectors of an economy
   - c. The study of individual economic units behaviour
   - d. The interactions within the entire economy

4. Which of the following is a microeconomics statement?
   - a. The real domestic output increased by 2.5 percent last year.
   - b. Unemployment was 9.8 percent of the labour force last year.
   - c. The price of wheat determines its demand
   - d. The general price level increased by 4 percent last year.

5. Find the odd one out:
   - a. "An inquiry into the nature and the causes of the Wealth of Nations"
   - b. "Principles of Economics"
   - c. "Nature and Significance of Economic Science"
   - d. "Ceteris paribus"

6. The equilibrium price is the price at which
   - a. Everything is sold
   - b. Buyers spend their money
   - c. Quantity demanded equals quantity supplied
   - d. Excess demand is zero

7. Author of "An Inquiry into the Nature and Causes of Wealth of Nations"
   - a. Alfred Marshall
   - b. Adam Smith
   - c. Lionel Robbins
   - d. Paul A Samuelson

8. "Economics studies human behaviour as a relationship between ends and scarce means which have alternative uses" is the definition of economics of
   - a. Lionel Robbins
   - b. Adam Smith
   - c. Alfred Marshall
   - d. Paul A Samuelson

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